QUESTION 3 (25 marks)

The accounting profit for NMN Ltd for the year ended 31 December 2018 is $950 000. Included in the accounting profit are dividends received of $12 000 that are not taxable and a penalty of $16 000 that is not deductible for tax purposes. Prepaid expenses on 31 December 2017 amounted to $40 000 and $30 000 on 31 December 2018.

NMN Ltd acquired land in Esigodini for $1 000 000 on 1 January 2017 and plans to construct a factory thereon. For the financial year ended 31 December 2017, the land was measured using the cost model of IAS 16. In 2015 NMN Ltd changed its accounting policy to the revaluation model in IAS 16. The land was revalued to $1 200 000 on 31 December 2018.

NMN Ltd acquired machinery on 1 January 2018 for $300 000 which is depreciated over five years on the straight line basis. The depreciation is included in the accounting profit. ZIMRA allows a SIA deduction of 25% in the first year and 25% per year for the subsequent 3 years.

The company sells stoves with a 2 year warranty. The company provides for warranty costs in its annual financial statements. The provision is not deductible for tax purposes, but the actual warranty costs paid are deductible. The balance of the provision for warranty costs in the statement of financial position of NMN Ltd on 31 December 2017 amounted to $32 000 and $40 000 respectively.

Actual warranties paid during the current year amounted to $36 000 and was debited against the provision for warranty costs.

On 1 January 2018, the equipment was destroyed by fire as a result of lightning. The profit realised on this equipment is included in the profit before tax. Information regarding this equipment is as follows:

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Insurance claim received	125 000
Cost of equipment	160 000

Carrying amount at 1 January 2018	96 000
Tax base on 1 January 2018	80 000

There were no other temporary differences on 31 December 2017. The effective income tax rate (inclusive of the Aids Levy) is 25.75% and the capital gains are taxed as per Capital Gains Tax Act 23.01. No tax rate changed in 2017 and 2018.

Required

Disclose the following notes in NMN Ltd for the year ended 31 December 2018:

a) Income tax expense [20 marks]
b) Deferred tax liability or asset. [5 marks]